

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 16

Honorable Vincent I. Parrett, Presiding

191 North First Street, San Jose, CA 95113

Telephone: (408) 882-2270

August 21, 2026

9:00 and 9:01 A.M.

Unauthorized Recording of Court Proceedings will be Punished

ORAL ARGUMENT

If you are contesting the tentative ruling then by 4 PM today you must notify:

- (1) The Court by calling **(408) 808-6856**, and
- (2) The other side by phone or email that you will appear at the hearing to contest the tentative.

If you fail to notify the court and opposing side by 4 PM then no oral argument will be heard and the tentative ruling becomes the final ruling. (C.R.C. 3.1308(a)(1) & Local Rule 8.D.)

APPEARANCES

The Court encourages in-person appearances for all matters.

The Court discourages remote appearances.

The Court forbids phone-only appearances.

If, despite the above clear guidance, you still elect to appear remotely in Department 16 then you must appear by video using our Court's Unicorn Digital Courtroom ("UDC") system. If for whatever reason you do not like using UDC, *then come to D16 in person.*

To use UDC, click or copy and paste this link into your internet browser & scroll to Department 16: https://www.scsccourt.org/general_info/ra_teams/video_hearings_teams.shtml
When using UDC you must *separately register for each case* in which you appear remotely. If you find UDC too cumbersome, *then come to D16 in person.*

Proposed Orders filed by counsel after the hearing must include the Judicial Council Form EFS-020 Proposed Order Cover Sheet.

LINE	CASE NO.	CASE TITLE	TENTATIVE RULING
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9:01 1	19CV341095	<i>Sandy Park</i> <i>v.</i> <i>Nancy Kim, et al.</i>	Hearing on Judgment-Debtor Sandy Park’s New Claim of Exemption On April 9, 2026, Judgment-Debtor Sandy Park (“Park”) filed a Claim of Exemption concerning levied rental income and cited C.C.P. § 473(b) as the basis for her exemption claim. After a hearing on May 15, 2026 on this issue, the Court DENIED Park’s exemption claim for several reasons: (1) Section 473(b) is not an exemption statute, (2) Park failed to identify any applicable statutory basis exempting the levied funds from enforcement, and (3) Park failed to carry her burden to establish that the levied funds are exempt. Order at 2:5-12 (filed: June 2, 2026). Next, on July 16, 2026, Parked filed a new Claim of Exemption objecting to the levied rental income, now citing C.C.P. §§ 473(b), 687.040, and 703.610 (the “New Claim of Exemption”). This Court has already ruled that Section 473(b) is not an exemption statute. The same holds true for Sections 687.040 and 703.610. Section 687.040 is about levying officer liability and Section 703.610 concerns the levying officer’s handling of property after a claim of exemption is made. None of these statutes exempts rental income from enforcement. And Park’s arguments about disputed accounting and allegations of fraud do not make the levied rent exempt. Moreover, under Code of Civil Procedure Section 703.530, Park as the Judgment Debtor has the burden to establish that the levied funds are exempt, e.g., by demonstrating that the funds at issue are reasonably necessary for her support. But Park has failed to carry that burden.
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			Accordingly, Judgment Debtor Sandy Park's New Claim of Exemption is DENIED. Judgment Creditor Nancy Kim is to prepare and file the formal order after this hearing. SO ORDERED.
9:01 2			
9:01 3			
9:01 4			
9:01 5			
9:01 6			
9:00 <u>1</u>	25CV477825	<i>American Express National Bank</i> <i>v.</i> <i>Christophe Juniel a.k.a. Christopher Juniel, et al.</i>	Order on Defendant Christopher Juniel's Motion to Quash Service of Summons See Line 1 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order & Judgment.
9:00 <u>2</u>	22CV402044	<i>Park Capital Management, LLC</i> <i>v.</i> <i>Satya Chillara, et al.</i>	Order on Plaintiff's Motion for Summary Judgment See Line 2 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.

9:00 3	23CV411306	<i>Raymond Tesconi</i> <i>v.</i> <i>Dark Run Ventures, Inc., et al.</i>	Order on Defendant Tripathi's Motion to Expunge Lis Pendens See Line 3 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
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Line 1

Case Name: *American Express National Bank*
v.
Christophe Juniel a.k.a. Christopher J. Juniel, et al.

Case No.: 25CV477825

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant Christopher Juniel moves under Code of Civil Procedure Section 418.10 to quash service of Summons on the following grounds:

1. The Summons and Complaint were not properly served under California law.
2. The Court lacks personal jurisdiction under the terms of the governing agreement.

Notice of Motion (the “Motion”) at 1:22-28 (filed: Jan. 12, 2026).

The Motion came on for hearing on August 21, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Factual Allegations

On April 18, 2017, the parties entered into an agreement for a credit card. Defendant has a current outstanding balance of \$25,321.62. (Complaint at ¶¶1, 8, 10 & its Exs. A, B) (filed: Oct. 16, 2025). Plaintiff initiated this action on October 16, 2025, alleging a single cause of action for breach of contract. (*Id.*)

II. Legal Standard on Motion to Quash

A defendant, on or before the last day of his or her time to plead or within any further time that the court may for good cause allow” may move “to quash service of summons on the ground of lack of jurisdiction of the court over him or her” that results from lack of proper service. (Code. Civ. Proc. § 418.10(a)(1). A defendant has 30 days after the service of the summons to file a responsive pleading. (Code. Civ. Proc. § 412.20(a)(3).) “Service of process, under longstanding tradition in our system of justice, is fundamental to any procedural imposition on a named defendant.” (*AO Alfa-Bank v. Yakovlev* (2018) 21Cal.App.5th 189, 202; internal quotations marks and citation omitted.) To establish personal jurisdiction, compliance with statutory procedures for service of process is essential. (*Kremerman v. White* (2021) 71 Cal.App.5th 358, 371.) Defendant’s knowledge

of the action does not dispense with statutory requirements for service of summons. (*Kappel v. Bartlett* (1988) 200 Cal.App.3d 1457, 1466.)

When a defendant moves to quash service of process on jurisdictional grounds, the plaintiff has the initial burden of demonstrating facts justifying the exercise of jurisdiction. (*Jayone Foods, Inc. v. Aekyung Industrial Co. Ltd.* (2019) 31 Cal.App.5th 543, 553.) “The plaintiff must do more than merely allege jurisdictional facts. It must present evidence sufficient to justify a finding that California may properly exercise jurisdiction over the defendant.” (*In re Automobile Antitrust Cases I & II* (2005) 135 Cal.App.4th 100, 110.) “If the plaintiff meets this initial burden, then the defendant has the burden of demonstrating that the exercise of jurisdiction would be unreasonable.” (*Jayone Foods, supra*, 31 Cal.App.5th at p. 553.)

III. Analysis of Motion

A. Service of Process was Proper.

“When a defendant challenges the court’s personal jurisdiction on the ground of improper service of process the burden is on the plaintiff to prove ... the facts requisite to an effective service.” (*Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413.) The plaintiff must demonstrate by a preponderance of the evidence that proper service of the summons and complaint was effectuated. (*Bolkiah v. Superior Court* (1999) 74 Cal.App.4th 984, 991.)

Generally, the filing of a proof of service that complies with applicable statutory requirements creates by itself a rebuttable presumption that service was proper. (*Dill v. Berquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1441.) The rebuttable presumption can only be dispelled by contradictory evidence. (*Craig v. Brown & Root* (2000) 84 Cal.App.4th 416, 421.) Once the presumption is dispelled, the trier of fact shall determine the existence or non-existence of the fact from the evidence and any appropriate inferences that may be drawn from it. (*Bonzer v. City of Huntington Park* (1993) 20 Cal.App.4th 1474, 1479.) Thus, once the presumption of proper service is gone, the trier of fact must weigh the evidence and decide whether or not service was effected pursuant to the applicable statutory requirements. (*Craig, supra*, 84 Cal.App.4th at 421-22.)

Here, two separate service attempts are at issue: (1) personal service of Christophe Juniel at his home on October 28, 2025, at 3:23 p.m. and (2) substitute service of Jane Doe at Mr. Juniel’s home on January 8, 2026, at 4:38 p.m. after diligent attempts. The first registered process server’s proof of service (filed October 28, 2025) established a presumption that Defendant was personally served on October 28, 2025, at his residence. However, Defendant argues that he was at work on this date, during the entire time of the alleged service and submits his declaration and his work schedule as evidence to rebut the presumption that the personal service was proper. (Motion at 7:1-8:6) In his declaration, Defendant attests that no one handed him legal documents on October 28, 2025, he did not identify himself to any process server, and he never spoke to a process server. Defendant’s attached work schedule shows he was scheduled “On Duty 0900 - 1800” on

October 28, 2025. (Juniel Decl. ¶¶ 3, 7; Exhibit A)

Plaintiff contends Defendant's work schedule should be excluded since it is not properly authenticated and thus he can only rely on his self-serving statement that he was not at home.

Notwithstanding the correctness or incorrectness of the October 28, 2025 service attempt, a second service attempt was made on January 8, 2026, via substituted service on Jane Doe, who identified herself as the co-resident. The proof of service and the accompanying Declarations of Reasonable Diligence and Mailing show three attempts were made on varied dates to serve the Defendant at his residence prior to the substituted service, and a copy of the documents were mailed to his residence. (Proof of service filed January 9, 2026).

This substituted service is facially compliant with Code Civ. Proc. § 415.20, which allows a copy of the summons and complaint to be left at the person's residence in the presence of a competent member of the household – after failed reasonable attempts at personal delivery - and by thereafter mailing a copy of the documents to the person to be served at the place where the copies were left. (Code Civ. Proc. § 415.20(b).)

Notably, Defendant does not contest the appropriateness of the substituted service, nor does he argue that he was not home on January 8, 2026.

Taking all these facts and circumstances into account, and in the broad exercise of its discretion, the Court finds and rules that the substituted service of process was proper here.

Accordingly, as service of process was proper here, Defendant's Motion to quash based on improper service of process fails.

B. This California Court has Personal Jurisdiction over Defendant who is a California resident.

To comport with federal and state due process, California may only exercise jurisdiction when a defendant has sufficient minimum contact with the state to satisfy traditional notions of fair play and substantial justice. California recognizes two ways in which the constitutional "minimum contacts" requirement may be satisfied. General jurisdiction exists where the nonresident defendant's contacts with the forum state are so "extensive or wide-ranging" as to justify jurisdiction even for purposes unrelated to the defendant's contacts. (*Safe-Lab, Inc. v. Weinberger* (1987) 193 Cal.App.3d 1050, 1053; *Boaz v. Boyle & Co.* (1995) 40 Cal.App.4th 700, 717)

Citing *Burger King Corp. v. Rudzewicz* (1985) 471 U.S. 462, Defendant argues that there is no substantial connection between his forum-related activities and the cause of action because the credit card agreement contains a governing law clause stating that "Utah law and federal law govern this Agreement and your Account" and that "We are located in Utah. We hold your Account in Utah. We entered into this Agreement with you

in Utah.” (Motion at 8:9-14; Exhibit A) The Court rejects these arguments.

Defendant’s reliance on *Burger King* is misplaced because *Burger King* addresses specific personal jurisdiction over *nonresident* defendants based on minimum contacts with the forum state. Here, Defendant is a California resident, so the Court has general personal jurisdiction over him. Additionally, Plaintiff’s claim arises directly from Defendant’s California contacts: Defendant obtained and used the credit account while residing in California, received account statements in California, and was obligated to make payments from California.

Moreover, a choice-of-law clause designating Utah law does not divest a California court of jurisdiction over a California resident. Choice of law provisions determine what substantive law applies. They are not forum-selection provisions that divest California courts of jurisdiction. California courts routinely apply the substantive law of another state when appropriate while exercising jurisdiction over parties properly before them.

Accordingly, as this Court has personal jurisdiction over Defendant, Defendant’s Motion to quash based on lack of personal jurisdiction fails.

IV. Conclusion & Order

Defendant’s Motion to quash service of summons for improper service and lack of personal jurisdiction is **DENIED**.

SO ORDERED.

Date: August 21, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

Line 2

Case Name: *Park Capital Management, LLC v. Satya Chillara, et al.*

Case No.: 22CV402044

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Park Capital Management, LLC (“Park Capital”) moves for summary judgment under Code of Civil Procedure Section 437c on the ground that there is no genuine material dispute of fact with respect to the fact that Orchard Yield Funds, LLC is, and always has been, the general partner of Orchard Yield Fund I LP. Notice of Motion (the “Motion”) at 1:24-2:1 (filed: Jan. 22, 2026).

The Motion came on for hearing on August 21, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, including all the evidence and separate statements and authorities submitted by each party, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

Background

Plaintiff Park Capital Management, LLC (“Plaintiff” or “Park Capital”), derivatively on behalf of Orchard Yield Fund I LP (“the Orchard Partnership”), brings this action against defendants Satya Chillara (“Chillara”), Rajs Funds LLC (“Rajs Funds”), and Sunil Dhar (“Dhar”) (collectively, “Defendants”). The Orchard Partnership is named as a nominal defendant.

This is a derivative action for declaratory relief. According to the allegations of the Complaint, on March 25, 2016, general partner Orchard Yield Funds LLC (“Orchard”) and limited partners Chillara, Dhar, and Park Capital (collectively, “Limited Partners”) entered into a limited partnership agreement (“LP Agreement”) to form the Orchard Partnership. (Complaint, ¶¶ 3, 4, 10, 11.) The Orchard Partnership was formed for the sole purpose of investing in Double L Ranches, LLC (“Double L”). (UMFs 1, 11.) Adam McAfee (“McAfee”) teamed up with Chillara to find investors for Double L, to invest via the Orchard Partnership. (UMF 3.) Thereafter, the LP Agreement was entered into.

The LP Agreement states that the only general partner at the time of formation was Orchard and that the general partner may be removed only “‘for cause’” when such cause is “‘reasonably determined in good faith upon the **unanimous** affirmative vote (called expressly for that purpose) of all the Limited Partners.’” (Complaint, ¶¶ 10, 12 [emphasis original].) On July 14, 2019, Chillara and Dhar called for a meeting to vote on the removal of Orchard as the general partner. (Complaint, ¶ 13.) Park Capital voted against the removal, but Chillara and Dhar purportedly rejected Park Capital’s vote. (Complaint, ¶ 14.) Park Capital contends that the vote to remove Orchard was invalid and emailed Chillara and Dhar to dispute the validity of the vote, and thus, there was no unanimous

affirmative vote by the Limited Partners to remove a general partner, and no vote or discussion on whether Orchard was properly removed for “cause.” (Complaint, ¶¶ 14-15.)

On July 20, 2019, Chillara and Dhar voted to add defendant Rajs Funds as general partner of the Orchard Partnership; however, such a vote required Orchard’s consent, and Park Capital objected to the vote, disputing the validity of the vote to admit Rajs Funds, since Orchard was prevented from voting. (Complaint, ¶¶ 16-17.) Since the votes above, there is uncertainty regarding the leadership of the Orchard Partnership. (Complaint, ¶ 18.) Park Capital believes Orchard is still the lone general partner, and Orchard has continued to: pay for all of the Orchard Partnership’s expenses; prepare all of its accounting records; prepare the work to complete its tax returns; timely filed the tax returns; and prepared and issued Form K-1s to all of its limited partners. (Complaint, ¶ 19.) Chillara and Dhar, however, have made repeated representations that Rajs Funds is the general partner of the Orchard Partnership. (Complaint, ¶ 20.)

Plaintiff initially filed its complaint on November 17, 2021 with the Superior Court of Alameda County. Thereafter, on July 13, 2022, Plaintiff filed the operative complaint against Chillara, Dhar and Rajs Funds, asserting a single cause of action for declaratory relief to determine who the Orchard Partnership’s general partner is.

On January 22, 2026, Plaintiff filed this Motion for summary judgment of the complaint that is currently before the Court. Defendants oppose the Motion and Plaintiff filed a reply.

I. Legal Standard

A motion for summary judgment “shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (Code Civ. Proc., § 437c, subd. (c).)

The “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact[.]” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850 (*Aguilar*).) “A prima facie showing is one that is sufficient to support the position of the party in question.” (*Id.* at p. 851.)

If the moving party makes the necessary initial showing, the burden of production shifts to the opposing party to make a prima facie showing of the existence of a triable issue of material fact. (*Aguilar, supra*, 25 Cal.4th at p. 850.) “There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (*Ibid.*) “[I]f the court concludes that the [opposing party’s] evidence or inferences raise a triable issue of material fact, it must conclude its

consideration and deny the [moving party's] motion.” (*Id.* at p. 856.)¹

Throughout the process, the trial court “must consider all of the evidence and all of the inferences reasonably drawn therefrom[.]” (*Aguilar, supra*, 25 Cal.4th at p. 844 [internal quotations omitted].) The moving party’s evidence is strictly construed, while the opposing party’s evidence is liberally construed. (*Id.* at p. 843.)

Similarly, “[a] party may seek summary adjudication on whether a cause of action, affirmative defense, or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff. ‘A motion for summary adjudication...shall proceed in all procedural respects as a motion for summary judgment.’” (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630 [internal citations omitted].)

II. Request for Judicial Notice

Plaintiff seeks judicial notice of the following documents:

- 1) Complaint filed with the Superior Court of Alameda on November 17, 2021, case no. 21CV002729 (Ex. 1);
- 2) Notice of transfer of civil matter filed with the Superior Court of Santa Clara County on August 23, 2022, case no. 22CV402044 (Ex. 2);
- 3) Articles of Organization of a Limited Liability Company for Double L Ranches, LLC filed with the CA Secretary of State on August 5, 2013. (Ex. 3);

Plaintiff’s request for judicial notice of Exhibits 1 and 2 is **GRANTED**. (Evid. Code, § 452, subd. (d).) The request for judicial notice of Exhibit 3 is likewise **GRANTED**. (Evid. Code, § 452, subd. (c).)

III. Declaratory Relief Generally

“Code of Civil Procedure section 1060, which governs actions for declaratory relief, provides: ‘Any person interested under a written instrument ... , or under a contract, or who desires a declaration of his or her rights or duties with respect to another ... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action ... for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract.’” (*California Public Records Research, Inc. v. County of Yolo* (2016) 4 Cal.App.5th 150, 185.)

¹ See also *Birdsall v. Helfet* (2025) 113 Cal.App.5th 558, 568 (“The court’s sole function on a motion for summary judgment is issue-finding, not issue-determination. The judge must simply determine from the evidence submitted whether there is a ‘triable issue as to any material fact.’”)

The sole purpose of this action is to determine who is the general partner of the Orchard Partnership under the LP Agreement.

IV. Removal of General Partner

a. Plaintiff's Burden

Plaintiff asserts that there is no dispute that Orchard was the general partner of the Orchard Partnership before July 2019. (Motion for Summary Judgment (“Motion”), p. 9:17-18; Opposition, p. 4:4-5.) Plaintiff next contends that the LP Agreement states that the general partner may be removed for cause upon unanimous affirmative vote of all of the Limited Partners. (UMF 103.) The relevant language of the LP Agreement states:

5.6. Removal of General Partner. The General Partner may be removed for cause as reasonably determined in good faith upon the unanimous affirmative Vote (called expressly for that purpose) of all the Limited Partners. For purposes of this Section, “cause” means and is limited to fraud, deceit, and embezzlement. Written notice of the General Partner’s removal shall be served upon the General Partner by certified mail stating the cause thereof. The notice shall set forth the day on which the removal is to be effective, and that date shall not be less than thirty (30) days after the service of notice on the General Partner. If there is no other remaining General Partner, and the Limited Partners fail to Vote to elect a new General Partner and continue the activities of the Partnership pursuant to Section 2.4 within thirty (30) days after the removal becomes effective, the Partnership shall be dissolved and its business shall be wound up and terminated. Any dispute as to the existence of “cause” shall be resolved pursuant to Section 18.8. Except as provided in this Section 5.66, the General Partner may not be expelled or removed from the Partnership by any means.

(2023 Declaration of McAfee (“2023 McAfee Decl.”), Ex. A, § 5.6 [emphasis original].)²

Plaintiff contends that based on the language of the LP Agreement, two requirements must be met for removal: 1) unanimous vote of all limited partners to remove the general partner; and 2) the existence of good cause for the removal. (UMFs 103-105 [McAfee Decl., Ex A; Solove Decl., Exs. 11-12].) In Chillara and Dhar’s deposition testimony, they each state that they carefully reviewed the LP Agreement and agree that in order to remove a general partner, there needed to be a unanimous, affirmative vote of all the Limited Partners. Additionally, they both state there were no exceptions to the unanimous requirement. (Solove Decl., Ex. 11, pp. 148-171; Ex. 12, pp. 104, 148, 149, 154.)

² The McAfee Declaration, cited as evidence in the separate statement, was filed on January 5, 2023 in support of Plaintiff’s opposition to Defendants’ motion for summary judgment. (See e.g., UMF 103.)

Plaintiff next asserts that there is no dispute that the July 2019 vote to remove Orchard was not unanimous, as Chillara and Plaintiff were prevented from voting. (UMF 124.) Plaintiff proffers sufficient evidence that Park Capital and Chillara were not allowed to vote. (See Solove Decl., Ex. 4 [Chillara's RFA 21].) Plaintiff refers to section 15.4 of the LP Agreement which states that in actions requiring the vote of all Limited Partners, all Limited Partners must be present in person, by telephone, or by proxy and that the LP Agreement does not provide for action to be taken by written vote. (UMF 126.) Despite this, a voting form was circulated to all Limited Partners except Plaintiff prior to the July 2019 meeting. (UMFs 112, 113.) Plaintiff contends that there are no exceptions in the LP Agreement regarding the unanimous requirement and that California law indicates the LP Agreement is controlling. (UMFs 103, 107; Motion, p. 11:10-12, citing Corp. Code, § 15901.10.) Section 15901.10, subdivision (a) states that a partnership agreement governs relations among the partners, subject to several inapplicable exceptions in subdivision (b). (See Corp. Code, § 15901.10, subd. (a).)

Finally, Plaintiff also notes that California law permits situations in which a person is both a general partner and a limited partner and has the rights, powers, duties, and obligations provided by section 15900 et seq. and the partnership agreement in both capacities. (Motion, p. 12, fn. 7; Corp. Code, § 15901.13.)

Plaintiff continues, however, that even if the unanimous requirement was met, Orchard was still not voted out because the "for cause" requirement in the LP Agreement was also never met. (Motion, p. 12:9-12.) Plaintiff asserts that the July 2019 meeting minutes state the *only* alleged causes are as follows: 1) Orchard declined to file a lawsuit against Double L in June 2019; and 2) McAfee's failure to disclose residual interest in Double L through McAfee farms. (UMFs 110, 114-118.) Plaintiff contends that neither cause has merit.

As to the first cause, Plaintiff states that each Limited Partner signed a subscription agreement acknowledging they had limited rights with respect to management and control of the Orchard Partnership. (UMFs 37-40.) The LP Agreement provided absolute control to the general partner with respect to decision-making over bringing litigation. (UMF 119; LP Agreement, § 5.2.3.) Section 5.1 of the LP Agreement states that "all powers of the Partnership shall be exercised exclusively by or under the direction of the General Partner. . . ." Section 5.2.3 states that the general partner will "[m]anage, hold, sell, transfer, exchange, pledge, . . . and exercise all rights, powers, privileges and other incidents of ownership or possession with respect to al such asserts including . . . the commencement and settlement or compromise of actions and administrative proceedings with respect to the investments and other similar matters." (2023 McAfee Decl., Ex. A, §§ 5.1, 5.2.3.) Further, Article 6 of the LP Agreement restricts the Limited Partner's authority to: take any action that binds the partnership; hold itself out as having the power to bind the partnership; incur any obligation or responsibility on behalf of the partnership; knowingly act in violation of the agreement, etc. (UMF 33; 2023 McAfee Decl., Ex. A, Art. 6.) Thus, Plaintiff proffers evidence that the LP Agreement does not require the Orchard Partnership to file any lawsuit, even if requested by the Limited Partners.

As for the second cause, defendant Dhar stated in an email to Limited Partners that

“the ‘cause’ is specifically deceit (i.e. knowingly or recklessly misrepresenting facts with the purpose of deceiving LPs).” (Solove Decl., Ex. 14.) The minutes from the July 2019 meet indicate that the second cause was related to a phone call where McAfee stated that his investment interest was in the 12-13% range, “which is material information withheld from the LP investors” and whether this percentage was a “small” investment interest. (UMF 117 [2023 Chillara Decl., Ex. P.]

Plaintiff contends that McAfee made a disclosure to the Limited Partners before they purchased interest in the Orchard Partnership. (Motion, p. 14:18-23.) Plaintiff states that each Limited Partner acknowledged that they had the opportunity to do due diligence before making their investment, had the opportunity to review all books and records they wanted, and represented they consulted with professionals regarding the investment. (UMFs 25, 38, 121, 122, 123.) Further, Park Capital made disclosures of pre-existing residual in Double L through McAfee Farms and therefore, there was no fraud, deceit, or embezzlement. (Motion, p. 15:15-18, citing UMFs 18, 41, 46, 47.) The asserted disclosure states:

One of the General Partners, Park Capital Management LLC, managed by Adam McAfee, owns a small membership interest in the Project Company through a residual interest from Park Capital Management’s 15-year investment in McAfee Farms, LLC, a member of Double L Ranches.

(2023 McAfee Declaration, Ex. D, p. 7; Ex. G, p. 1.)³

Plaintiff concedes, however, that there is a dispute over the meaning of the word “small” in the disclosure and whether 12-13% is, in fact, “small.” (Motion, p. 15:19-25; see *Quality Wash Group V v. V Hallak* (1996) 50 Cal.App.4th 1687, 1694 [“Where the facts **are not in dispute**, the [interpretation of a written instrument] is one of law.”][emphasis added].) Plaintiff argues that even with a dispute over the meaning of “small,” it is merely a dispute related to ambiguity and a contractual failure of meeting of the minds but does not rise to fraud, deceit, or embezzlement to support a for cause removal. (*Ibid.*) While it may be the case that the conduct does not rise to a level of fraud or deceit, this determination must be made by a trier of fact and is therefore not properly decided on a motion for summary judgment. (See e.g., *Salazar v. Target Corp.* (2022) 83 Cal.App.5th 571, 579.)

Based on the foregoing, and having carefully reviewed all the evidence and the record, the Court finds that there is at least one triable issue of material fact in this action. As a result, the Court need not and does not address Plaintiff’s remaining arguments, and the burden does not shift to Defendants. (See *Aguilar, supra*, 25 Cal.4th at p. 850 [if there is a single issue that would allow a trier of fact to find in favor of the party opposing the motion in accordance with the applicable standard of proof, the motion must be denied].)

³ This quote appears in Exhibit D to the 2023 McAfee Declaration, which was filed under seal. However, the exact language quoted above also appears in Exhibit G to the 2023 McAfee Declaration, which was not filed under seal.

Accordingly, Plaintiff's Motion for Summary Judgment is **DENIED**.⁴

Conclusion & Order

For all the reasons explained above, and in the broad exercise of its discretion, the Court **DENIES** Plaintiff's Motion for Summary Judgment.

SO ORDERED.

Date: August 21, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

⁴ The Court notes for the record that Defendants did not respond to Plaintiff's separate statement of undisputed facts, in violation of Code of Civil Procedure section 473c, subdivision (b)(3), which requires opposition papers to include a separate statement that responds to each of the material facts asserted by the moving party. As a result, the Court declines to rule on Defendants' objections to Plaintiff's evidence on the ground Defendants failed to comply with California Rules of Court, rule 3.1354, subdivision (b) requiring objections to specific evidence to be referenced by objection number in the right column of the separate statement in opposition. (*Demps v. San Francisco Housing Authority* (2007) 149 Cal.App.4th 564, 578 [court must rule on individual objections only when they are in proper form].) Also, the Court declines to rule on Plaintiff's objections made in reply to Defendants' opposition as the Court did not reach or rely Defendants' evidence to resolve this Motion.

Line 3

Case Name: *Raymond Tesconi v. Dark Run Ventures, Inc., et al.*

Case No.: 24CV435406

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant Ashish Tripathi (“Defendant” or “Tripathi”) moves under Code of Civil Procedure Sections 405.30 and 405.32 to expunge the Notice of Pendency of Action (Lis Pendens) recorded by Plaintiff Raymond Tesconi (“Plaintiff”) against the real property located at 4298 Othello Drive, Fremont, CA 94555, Alameda County Assessor’s Parcel Number 543-0413-007-00 (the “Property”) Notice of Motion (the “Motion”) at 1:27-2:4 (filed: Feb. 13, 2026). The Motion is made on the grounds that: (1) Plaintiff’s Complaint fails to state a real property claim against Defendant, and (2) Plaintiff cannot establish the probable validity of any real property claim against Defendant, who is a bona fide purchaser for value. *Id.* at 2:6-9.

The Motion came on for hearing on August 21, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Fact Allegations & Procedural History

On March 7, 2018, Plaintiff Raymond Tesconi obtained a loan from Thurman Investments, Inc., executing a \$350,000.00 promissory note, secured by a deed of trust on real property located at 4298 Othello Drive, Fremont, California. The loan was secured by a Deed of Trust dated March 2, 2018, recorded on March 7, 2018, as Document Number 2018047045 in the Official Records of Alameda County, California.

The note bore an interest rate of 11.603% per annum, with “Interest Only Payments of \$3,384.20 - paid in monthly installments from May 1, 2018, up until April 30, 2023” (Compl. ¶ 19) and a balloon payment of the entire principal of \$350,000.00 due and payable immediately at the maturity date of April 30, 2023. Interests in the loan were transferred to MERS Fund I and subsequently to Dark Run Ventures, Inc., entities controlled by Defendant William Robinson Stuart.

In mid to late 2019, Raymond Tesconi suffered a stroke. In the first quarter of 2020, Raymond Tesconi was diagnosed with Stage 4 Colon Cancer and was forced to undergo chemotherapy. William Robinson Stuart contacted Tesconi in April 2020, introduced himself as the managing member of MERS Fund I, and asked Tesconi to come to his office to sign documents; Stuart never explained the terms of these documents to Tesconi; Tesconi informed Stuart of his illnesses and current medical treatment that interfered with his faculties and ability to think clearly.

“Through the duration of the promissory note, Plaintiff states based on information and belief that he never missed a payment, and that he materially complied with each and every provision under the Second Deed of Trust.” (Compl. ¶ 22.) As the loan approached maturity, Tesconi located several ready, willing lenders prepared to loan money to pay off the junior loan, but that on several occasions, escrow would open and Stuart would find every opportunity to stonewall and thwart Tesconi’s efforts to complete the loan process.

In April 2022, Tesconi obtained a payoff quote from Dark Run Ventures, Inc. Stuart faxed over a document stating that Tesconi’s payoff was in the amount of \$442,801.28. Tesconi alleges that “defendants charged over \$80,109.83 in illegal interest payments at the unconscionable usurious rate of 20.5%” (Compl. ¶ 37.) By September 12, 2022, the payoff amount climbed to \$461,598.03.

Dark Run Ventures, Inc. (“DRV”) recorded a Notice of Default against the subject property on or about January 23, 2023—roughly three months before the maturity of the loan. A Notice of Trustee Sale was recorded on or about June 8, 2023. Tescooni alerted defendants that he was approved for a \$500,000 reverse mortgage loan—which would have easily satisfied the outstanding balance that defendants falsely and maliciously claimed that Tesconi owed; Tesconi requested a 60-day forbearance and asked defendants not to proceed with the non-judicial foreclosure trustee auction until the loan application process was completed.

“Tesconi was also preapproved for an emergency loan in the amount of \$50,000; Plaintiff tendered \$50,000 from those proceeds in good faith in order for the impending April 2, 2024, sale to be stopped *ibid*” (Compl. ¶ 56), but that “Defendants maliciously and in bad faith refused to consider the good faith offer; and in the absence of such bad faith, Plaintiff had the present ability to, and would have, cured the default and halted the sale” (*id.* ¶ 57).

The foreclosure sale occurred on April 2, 2024. Defendant Tripathi attended the non-judicial foreclosure auction and was the successful bidder. Tripathi purchased the property for the total sum of \$1,220,100.00, paid in full via cashier’s checks. The deed states the amount of the unpaid debt together with costs was \$604,715.15.

Tesconi filed this action (Case No. 24CV435406) on April 16, 2024—fourteen days after the April 2, 2024 trustee’s sale. Tesconi’s complaint here asserts ten causes of action, including wrongful foreclosure, quiet title, financial elder abuse, and declaratory relief.

The lis pendens was recorded May 10, 2024, at 1:13 PM in the Official Records of Alameda County. The trustee’s deed was dated May 22, 2024, and was not recorded until May 24, 2024, at 2:52 PM in the Official Records of Alameda County (Document No. 2024065120). Thus the lis pendens was recorded 14 days before the trustee’s deed was recorded.

The trustee’s deed states that a copy of the affidavit or declaration under Code of Civil Procedure Section 2015.5 delivered to the trustee by Tripathi as high bidder is attached as Exhibit A and incorporated therein; that affidavit is required to be attached

and recorded pursuant to Civil Code Section 2924m(d). However, Tripathi did *not* attach a copy of the Section 2924m affidavit to his moving papers here. Civil Code section 2924m(c)(1) requires that a prospective owner-occupant must submit the required affidavit to the trustee at the trustee's sale or by 5 p.m. on the next business day following the trustee's sale.

Here, the trustee's sale occurred April 2, 2024; the latest the affidavit should have been accepted under section 2924m(c)(1) was April 3, 2024, before 5 p.m. Tesconi asserts that DRV and Stuart allowed Tripathi to submit the section 2924m affidavit 43 days after the sale and that the affidavit was executed May 15, 2024—43 days after the sale, in violation of the statute's next-business-day deadline—and was deliberately concealed from the Court to create a false appearance of innocence.

A related unlawful detainer action was filed by Tripathi against Tesconi in Alameda Superior Court, case number 24CV078303. The Alameda Superior Court on December 12, 2024, granted Tripathi's unopposed motion for summary judgment, finding that Defendant Raymond Tesconi has not opposed this motion and has therefore failed to raise triable issues of material fact as to the unlawful detainer action. Judgment was entered on December 16, 2024 in favor of Plaintiff and against Defendant. Reply at 7:18-20.

The Court of Appeal, First Appellate District, Division Three, filed an unpublished opinion on July 29, 2026, in case number A172456 (Alameda County Super. Ct. No. 24CV078303), affirming the judgment. The Court of Appeal affirmed "the trial court's determination that Tripathi is a bona fide purchaser of the subject property entitled to the conclusive presumption of Civil Code section 2924, subdivision (c)" Supp. Req. for Jud. Notice at 2:26-28 & Ex. 5 at pp. 11-12. The appellate court found that Tripathi "purchased the property for \$1,220,100.00 and, at the time of the sale, had no knowledge of any dispute regarding the foreclosure proceedings or the underlying loan" Supp. Req. for Jud. Notice, Ex. 5 at pp. 11-12.

On the timing issue, the Court of Appeal held that "the undisputed evidence, however, establishes that Tripathi submitted the successful bid on April 2, 2024, before either the May 10, 2024 recording of the lis pendens or his June 7, 2024, addition as a defendant in the wrongful foreclosure action" Supp. Req. for Jud. Notice, Ex. 5 at pp. 11-12. And that "at the time Tesconi recorded his lis pendens, the trustee's sale was complete and the statute provides no manner by which to abort the sale aside from a defect in the foreclosure process. *Id.*, Ex. 5 at p. 13.

Here, in this case (No. 24CV435406), Tripathi filed his Motion to Expunge Lis Pendens on February 12, 2026, seeking expungement on two grounds: that Tesconi's complaint fails to state a real property claim against Tripathi, and that Tesconi cannot establish the probable validity of any real property claim against Tripathi because Tripathi is a bona fide purchaser for value. Tesconi opposes the motion and requests mandatory attorney fees of \$11,040.00 under Code of Civil Procedure section 405.38 if Tesconi prevails on this Motion.

II. Legal Standards

Under Code of Civil Procedure Section 405.31, a court shall order the lis pendens expunged if the court finds that the claimant has not established, by a preponderance of the evidence, the probable validity of the real property claim. (C.C.P. § 405.32.) The burden rests on the lis pendens claimant to prove by a preponderance probable validity, and the court weighs evidence beyond the pleadings, including declarations and documents.

Code of Civil Procedure Section 405.4 defines a real property claim to include causes of action in which a person seeks to establish a lien on or to recover possession of real property or to determine any right to or interest therein, including a real property claim based upon a lien. To qualify as a real property claim subject to lis pendens protection, the claim need not be framed solely in the language of property law; it suffices that the relief sought would, if successful, affect title to or right to possession of the property. (C.C.P. § 405.4.)

Probable validity means it is more likely than not that the claimant will obtain a judgment on the claim. (Code Civ. Proc., § 405.3.) The court must weigh the parties' competing evidence; a mere prima facie showing is not enough. (*Di Martini v. Superior Court* (2024) 98 Cal.App.5th 1269.)

Moreover, Code of Civil Procedure Section 405.38 *requires* the court to award “the party prevailing” on this motion their “reasonable attorney’s fees and costs of making *or* opposing the motion” unless the court finds the other party acted with substantial justification or that other circumstances make the award unjust. (C.C.P. § 405.4) (emphasis added).

III. Analysis of the Motion

A. Tesconi’s Complaint states a real property claim.

Tesconi’s wrongful foreclosure claim directly seeks to rescind the non-judicial foreclosure and restore both title and, if necessary, possession to Tesconi. A successful wrongful foreclosure claim would set aside the April 2, 2024 trustee’s deed and reinstate Tesconi’s title. This is a real property claim within the meaning of Code of Civil Procedure Section 405.4. (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279.)

Tesconi’s quiet title claim “seeks an order to invalidate the Non-Judicial Foreclosure Sale of April 2, 2024, pursuant to Trustee Sale # 132001-5; and an order decreeing that the Plaintiff Raymond Tesconi as the rightful owner of the subject property located at 4298 Othello Drive Fremont CA, 94555” Compl. ¶ 79. Quiet title is a direct real property action that seeks to determine rights to title. (§ 405.4.)

Tesconi’s financial elder abuse cause of action alleges that defendants took the property of Mr. Tesconi in the form of ownership to the subject property. Financial elder abuse qualifies as a real property claim where, if successful, it would affect title to the

subject property. (*Newell v. Super. Ct.* (2024) 107 Cal.App.5th 728.)

Tesconi's declaratory relief cause of action alleges that an actual controversy exists between the parties regarding the legitimacy of the Non-Judicial Foreclosure Sale of the subject property conducted on April 2, 2024, seeks a determination that the sale was void, and asks for a court order canceling deeds recorded arising out of the April 2, 2024 sale.

Declaratory relief qualifies as a real property claim only when the declaration sought would itself determine rights to title or possession of the identified property. (*Newell v. Super. Ct.* (2024) 107 Cal.App.5th 728.) Here, the relief sought directly affects title. So *this* declaratory relief claim is a real property claim.

Accordingly, the Court finds that Tesconi's complaint states real property claims within the meaning of Code of Civil Procedure section 405.4. The wrongful foreclosure and quiet title causes of action, together with the elder abuse and declaratory relief allegations, seek to determine Tesconi's right to and interest in the property. Hence, the *lis pendens* is properly placed and may not be expunged on the ground that no real property claim exists.

B. Tripathi has not met his burden to establish by a preponderance of the evidence in this case that he is a bona fide purchaser.

A bona fide purchaser is one who takes for value, in good faith, and without notice of defects in title. (*RNT Holdings, LLC v. United General Title Ins. Co.* (2014) 230 Cal. App. 4th 1289, 1296). Civil Code Section 2924 makes the recitals in a trustee's deed conclusive only in favor of a bona fide purchaser for value. (*Melendrez v. D & I Inv., Inc.* (2005) 127 Cal.App.4th 1238, 1242.) The conclusive presumption under Civil Code Section 2924 protects against attacks on statutory notice compliance but does not insulate fraud that is chargeable to the purchaser. (*Id.*)

If a purchaser is a bona fide purchaser, equitable relief setting aside the sale, canceling the trustee's deed, or quieting title against that purchaser is unavailable, and the trustor's remedy is limited to damages. (*Moeller v. Chun-Yen Lien* (1994) 25 Cal.App.4th 822, 826.) But if the purchaser is not a bona fide purchaser, those equitable remedies remain available. (*Orcilla v. Big Sur, Inc.* (2016) 244 Cal.App.4th 982, 990.)

After carefully reviewing all the papers and the record, and in the broad exercise of its discretion, the Court finds that Tripathi has not established by a preponderance of the evidence that he is a bona fide purchaser for value without notice. This conclusion rests on several independent and cumulative evidentiary failures and factual disputes that *fall outside* the narrow notice-compliance issues addressed in the prior unlawful detainer proceedings.

First, the Court addresses the chronology of recording. The *lis pendens* was recorded on May 10, 2024, while the trustee's deed was not recorded until May 24, 2024. A recorded *lis pendens* gives constructive notice from the time of recording, and rights adjudicated in the action relate back to that recording date. (Code Civ. Proc., § 405.24.) A

subsequent transferee who acquires or perfects an interest after the lis pendens is recorded is bound by that notice. (*Deutsche Bank Nat'l Trust Co. v. McGurk* (2012) 206 Cal.App.4th 201, 204.)

Tripathi argues that Civil Code Section 2924h(c) relates perfection of his interest back to the sale date of April 2, 2024, before the lis pendens was recorded. But this Court interprets Civil Code Section 2924h(c) to mean that its relation-back protection is not automatic and not available to a purchaser who is *not* a bona fide purchaser. While the text of Section 2924h(c) says when the trustee's sale is deemed *perfected*,⁵ that does not mean that *every purchaser* automatically receives the substantive protections afforded to a *bona fide purchaser* under Section 2924 and related law. (See *U.S. Financial, L.P. v. McLitus* (2016) 6 Cal. App. 5th Supp. 1, 3-4 [perfection of the trustee's sale is *distinct* from perfection of title] & *Residential Capital v. Cal-Western Reconveyance Corp.* (2003) 108 Cal. App. 4th 807, 821-823 [holding that although the bidder's bid had been accepted, discovery of a defect before issuance of trustee's deed limited the bidder to restitution, observing that the bidder had not brought itself within the statutory scheme protecting the "sanctity of title of a bona fide purchaser[.]").

Here, the trustee's deed was dated approximately 50 days after the sale. So without a showing of the statutory conditions for section 2924h(c) relation back, the operative perfection date is the actual recordation date of May 24, 2024, which came after the lis pendens recording. This defeats the without-notice element of bona fide purchaser status.

Second, the Civil Code section 2924m owner-occupant affidavit issue undermines Tripathi's position. Civil Code section 2924m requires a prospective owner-occupant affidavit to be submitted at the sale or by 5:00 p.m. on the next business day. (Civil Code § 2924m.) Compliance is substantive, not merely technical; failure to submit a compliant affidavit defeats the purchaser's ability to establish the statutory owner-occupant eligibility that depends on that affidavit. (*Applegate v. Carrington Foreclosure Servs., LLC* (2025) 112 Cal.App.5th 356.) An untimely or noncompliant affidavit undermines, rather than supports, a claim to the protections flowing from section 2924m. (*Id.*)

Here, the trustee's deed recites that the required affidavit was attached as Exhibit A thereto, but Tripathi did not produce the affidavit in his moving papers for this Motion. In stark contrast, Tesconi presents evidence that the affidavit was executed 43 days after the sale, in violation of the statute's next-business-day deadline. Because the affidavit is central to any owner-occupant theory and Tripathi did not produce it here, the Court cannot presume timely compliance from the deed's generic recital alone. This evidentiary gap weighs against Tripathi's effort to prove bona fide purchaser status by preponderance of the evidence.

⁵ "For purposes of this subdivision, the trustee's sale . . . shall be deemed perfected as of 8 a.m. on the actual date of sale if the trustee's deed is recorded within 21 calendar days after the sale, or the next business day following the 21st day if the county recorder in which the property is located is closed on the 21st day." (Civil Code § 2924h(c).)

Third, occupancy is materially disputed. Tripathi declares that he resides at 4298 Othello Drive, Fremont, CA 94555. But Tesconi counters that during the entire time that Tesconi lived directly across the street, he never observed Tripathi residing at 4298 Othello Drive, that he never saw Tripathi or his family move in or regularly come and go, and that he personally observed other families occupying his former home. Tesconi also presents address information showing addresses associated with Tripathi other than 4298 Othello Drive, including 1925 Barrymore Common through November 2024 and another Fremont address beginning in September 2024. Indeed, the trustee's deed was recorded to and mailed to Ashish Tripathi at 1925 Barrymore CMN, Apt. W, Fremont, CA 94538—*not* the subject property address.

This conflict prevents the Court from finding, by a preponderance of the evidence in Tripathi's favor, that Tripathi satisfied section 2924m's owner-occupant predicates and acted in the good-faith, no-notice posture required of a bona fide purchaser. Combined with the missing affidavit and the Barrymore mailing address, the occupancy dispute cuts against Tripathi's claimed statutory posture.

Fourth, Tesconi alleges that the straw purchaser, now known as Tripathi, was an agent of DRV and Stuart, and that any bad act alleged against the DRV Defendants is also imputed to Tripathi and that "Tripathi not only knew of the specific bad acts alleged inter-alia of DRV and Stuart, but he aided and abetted as he gave material assistance and comfort as posed as a straw purchaser at a foreclosure auction that was encapsulated by fraud and abuse" (Declaration of Raymond Tesconi in Opposition to Motion at ¶ 39, at p. 10:8-10.) Tesconi further alleges that the home was worth more than \$2 million but sold for less than half its reasonable value and that "Stuart and DRV rigged the bidding to ensure that my residence of nearly three decades was sold to an inside investor for a fraction of the actual reasonable value" (*Id.* at ¶ 35, at p. 9:5-8.) While these allegations remain largely inferential and are not, standing alone, sufficient to pierce the Section 2924 conclusive presumption, they are relevant to the good-faith inquiry and add to the cumulative weight of evidence raising doubt about Tripathi's claim to bona fide purchaser status.

Taking all this into account, and in the broad exercise of its discretion, the Court finds that Tripathi has not met his burden to establish by a preponderance that he is a bona fide purchaser for value without notice. The lis pendens timing, the absence of a demonstrated section 2924h(c) relation-back showing, the unresolved and evidentially significant section 2924m affidavit defect, and the disputed owner-occupancy evidence together defeat Tripathi's claim to bona fide purchaser status on the present record.

C. Tesconi has established the probable validity of his real property claims.

On a motion to expunge a lis pendens, the lis pendens claimant bears the burden to establish by a preponderance of the evidence the probable validity of the real property claim. (C.C.P. § 405.32.) Probable validity means that it is more likely than not that the claimant will prevail on the merits of the real property claim. (C.C.P. § 405.3.) The court must weigh the parties' competing evidence; a mere prima facie showing is not enough.

(*Di Martini v. Superior Court* (2024) 98 Cal.App.5th 1269.)

Tesconi has supported his Opposition with his own verified declaration, documentary evidence concerning his payment history and refinancing efforts, and detailed fact allegations of fraudulent conduct. Taking all this into account, and in the broad exercise of its discretion, the Court finds for purposes of resolving this Motion that Tesconi has established the probable validity of the following in this record.

On payment history and inflated payoff demands: Tesconi never missed a payment and he materially complied with each and every provision under the Second Deed of Trust. In April 2022, Tesconi received a payoff demand of \$442,801.28 on a loan that originated at \$350,000. Tesconi asserts that defendants charged over \$80,109.83 in illegal interest payments at the unconscionable usurious rate of 20.5%. By September 2022, the payoff amount climbed to \$461,598.03. This escalation supports a reasonable inference of inflated charges.

On obstruction of refinancing: Tesconi located several ready, willing lenders prepared to loan money to pay off the junior loan, yet on several occasions, escrow would open and Stuart would find every opportunity to stonewall and thwart Tesconi's efforts to complete the loan process. Tesconi asserts that he alerted defendants that he was approved for a \$500,000 reverse mortgage loan—which would have easily satisfied the outstanding balance and requested forbearance, yet defendants proceeded with the sale anyway. Tesconi also asserts that he was preapproved for an emergency loan in the amount of \$50,000; Plaintiff tendered \$50,000 from those proceeds in good faith in order for the impending April 2, 2024, sale to be stopped, but that Defendants maliciously and in bad faith refused to consider the good faith offer.

On financial elder abuse: Tesconi suffered a stroke and was diagnosed with Stage 4 Colon Cancer requiring chemotherapy. Tesconi alleges that Stuart contacted him in April 2020, introduced himself as the managing member of MERS Fund I, asked Tesconi to come to his office to sign documents, never explained the terms, and was informed by Tesconi of his illnesses and current medical treatment that interfered with his faculties and ability to think clearly. Against this backdrop of clear vulnerability of a sick old man, and the pattern of obstructed refinancing efforts, the Court finds that Tesconi presents a credible narrative of a senior citizen in declining health being systematically denied access to the financing he repeatedly sought, culminating in a forced sale.

On property valuation: Tesconi asserts the home was worth more than \$2 million but sold for \$1,220,100. The disparity, combined with the other evidence of fraud and obstruction, is probative of the trustee's sale being an exercise in systematic undervaluation.

Moreover, for all the reasons the Court explained in detail above, the Court has found that Tripathi has not established in this case that he is a bona fide purchaser—which removes the primary barrier to equitable relief, thereby substantially strengthening Tesconi's probable validity showing.

Taking all this into account, and in the broad exercise of its discretion, the Court finds, for the purposes of resolving this Motion, that Tesconi has established by a preponderance of the evidence the probable validity of his real property claims. The documentary evidence of inflated payoff demands, the specific instances of obstruction of refinancing, the verified tender attempts, the elder abuse context, and the circumstantial evidence of Tripathi's non-occupancy *together* support that it is more likely than not that Tesconi will prevail on his wrongful foreclosure, quiet title, and related claims.

D. Issue preclusion does not bar litigation in this case over whether Tripathi is a bona fide purchaser.

Issue preclusion applies only if the issue is identical to one decided in the prior proceeding, the prior decision is final and on the merits, the issue was actually litigated and necessarily decided, and the party against whom preclusion is asserted was a party or in privity with a party to the prior proceeding.

In the section 1161a context, the preclusive effect of an unlawful detainer judgment is narrow because that proceeding permits only a limited examination of title, focused on whether the purchaser acquired the property at a regularly conducted sale and duly perfected title. (*Struiksma v. Ocwen Loan Servicing, LLC* (2021) 66 Cal.App.5th 546.) A prior section 1161a judgment precludes only issues directly connected with the conduct of the foreclosure sale and actually adjudicated there. (*Malkoskie v. Option One Mortg. Corp.* (2010) 188 Cal.App.4th 968, 974.)

To be sure, the parties to the prior unlawful detainer proceeding are identical to the parties in the present action. The same property was at issue. The prior judgment was affirmed on appeal by the Court of Appeal on July 29, 2026. And that prior determination is final.

This Court recognizes and respects that the Court of Appeal in the unlawful detainer action held that Tripathi is a bona fide purchaser entitled to the conclusive presumption of Civil Code section 2924, subdivision (c), and found that Tripathi purchased the property with no knowledge of any dispute regarding the foreclosure proceedings. The appellate opinion's affirmance of a specific bona-fide-purchaser determination satisfies the actually-litigated element as to bona-fide-purchaser status on the narrow ground of statutory notice compliance under Civil Code section 2924(c). That determination is essential to the unlawful-detainer judgment insofar as Tesconi's attack in that proceeding concerned Tripathi's right to possession after the trustee's sale.

But the scope of that preclusion is narrow. Civil Code section 2924(c) is conclusive *only* as to statutory notice compliance, specifically whether the recitals in the trustee's deed regarding mailing, publication, and posting of the Notice of Default and Notice of Sale were satisfied. A section 1161a judgment precludes only issues directly connected with the conduct of the foreclosure sale and actually adjudicated there. (*Struiksma v. Ocwen Loan Servicing, LLC* (2021) 66 Cal.App.5th 546; *Malkoskie v. Option One Mortg. Corp.* (2010) 188 Cal.App.4th 968, 974.)

In this case, the Court finds that collateral estoppel bars Tesconi from relitigating whether the statutory notice requirements under Civil Code section 2924(c) were satisfied and whether Tripathi had notice of irregularities in those specific statutory procedures at the time of sale. But the Court further finds that this preclusion does *not* extend to the separate elements of bona fide purchaser status that were not necessarily decided in the unlawful detainer proceeding. Specifically, the prior proceeding did not address or decide the timing of the lis pendens recording relative to the trustee's deed recording, the timeliness and validity of the Civil Code section 2924m owner-occupant affidavit, the disputed occupancy evidence, or the availability of Civil Code section 2924h(c) relation-back. These issues fall outside the limited title inquiry permitted in an unlawful detainer action, and thus were *not* actually litigated or necessarily decided in the prior proceeding.

Importantly, the Court's finding above that Tripathi has not established his bona fide purchaser status here rests on these other elements—lis pendens timing, section 2924m compliance, occupancy disputes, and lack of relation-back—*not* on the statutory notice-compliance issues that were decided in the unlawful detainer proceeding. This Court's (a) collateral estoppel finding on notice compliance *and* (b) independent no-bona-fide-purchaser finding based on these other elements are therefore consistent and complementary, not contradictory.

Moreover, Tesconi's present claims include substantial allegations of fraud, elder abuse, and irregularities outside the pure notice-compliance scope adjudicated in the unlawful detainer case. Accordingly, the collateral estoppel limitation does not independently require expungement under section 405.32 because Tesconi's wrongful foreclosure, fraud, and elder abuse allegations—many of which go to conduct outside the pure notice-compliance scope of the UD judgment—establish that probable validity is shown despite the narrow collateral estoppel bar on notice-compliance relitigation.

E. In the exercise of its discretion, the Court does not require Tesconi to post an undertaking here.

Code of Civil Procedure section 405.34 provides that if the court does not expunge the lis pendens, the court may, in its discretion, require the plaintiff to post an undertaking to indemnify the defendant for any damages caused by the preservation of the lis pendens.

This undertaking requirement is discretionary, not mandatory. *If* imposed, the amount of the undertaking should be reasonable and proportionate to the defendant's anticipated harm if the lis pendens is ultimately found to be invalid. The amount is limited to damages proximately caused by maintenance of the notice itself. (C.C.P. § 405.34.) Cognizable categories include interest paid on encumbering debt, lost investment return or opportunity cost on the purchase money, real property taxes, and resale costs. (*CMSH Co., Inc. v. Antelope Dev., Inc.* (1990) 223 Cal.App.3d 174, 176.)

Here, where the Court denies Tripathi's Motion to expunge on its merits and finds that Tesconi establishes the probable validity of his real property claims, the primary purpose of an undertaking—to protect against the burdens of an invalid lien—is

substantially diminished. The lis pendens here is likely valid, not speculative.

As explained in detail above, the Court has found that Tesconi presents substantial evidence supporting his real property claims, including documentary evidence of payment history, inflated payoff demands, obstructed refinancing efforts, tender attempts, and elder abuse. Such evidence supports that it is more likely than not that Tesconi will prevail on his wrongful foreclosure and quiet title claims at trial.

Indeed, an undertaking is most appropriate where the validity of the underlying claim is questionable or where the defendant demonstrates specific, quantifiable harm from the maintenance of the lis pendens that outweighs the claimant's interest in preserving the status quo. Neither condition is satisfied here. The Court here finds that: (1) Tesconi has established probable validity of his claims by a preponderance of the evidence, and (2) Tripathi has not submitted detailed evidence of specific carrying costs or damages that would result from the lis pendens remaining in place pending the upcoming jury trial set to begin in this case on May 5, 2027.

Taking all this into account, and in the broad exercise of its discretion, the Court here declines to require Tesconi to post an undertaking.

F. As the prevailing party on this Motion, Tesconi is entitled to his reasonable attorneys' fees in opposing this Motion.

Code of Civil Procedure section 405.38 mandates an award of reasonable attorney fees and costs to the prevailing party on a motion to expunge a lis pendens unless the Court finds that one of these statutory exceptions exist: (1) the other party acted with substantial justification or (2) that other circumstances make imposition of fees unjust. (C.C.P. § 405.38). As the plain text of this statutory provision enacted by our Legislature is the "court shall," *not* may, this award is mandatory unless one of those two statutory exceptions are present. (C.C.P. § 405.38) & (*Shoker v. Superior Court* (2022) 81 Cal.App.5th 271) (same).

The party who successfully defeats a motion to expunge and thereby preserves the lis pendens is the prevailing party for purposes of Section 405.38. (*J&A Mash & Barrel, LLC v. Super. Ct.* (2022) 74 Cal.App.5th 1.) Because the Court has denied Tripathi's Motion to expunge on its merits, the Court now finds that Tesconi is the prevailing party on this Motion.

Having found that Tesconi is the prevailing party on the Motion, under Section 405.38 the burden now shifts to Tripathi to show that one of the two statutory exceptions apply, e.g., that he "acted with substantial justification" in bringing this Motion. (C.C.P. § 405.38) & (*Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1014) (same). Substantial justification means a position that is clearly reasonable in both law and fact. (*Castro*, 116 Cal. App. 4th at 1014).

Here, Tripathi argues that he acted with substantial justification his motion because his Motion rested on an undisputed timeline and appellate authority on his bona

fide purchaser status. But this characterization does not satisfy Tripathi's burden to show that his position was clearly reasonable in both law and fact. This Court has found above that Tripathi failed to establish bona fide purchaser status on the present record due to multiple evidentiary failures, including the lis pendens timing, the missing section 2924m affidavit, disputed occupancy, and the lack of relation-back showing. And where, as here, the Court denies the Motion to expunge on the merits, Tripathi's reliance on his own characterization of authorities does not establish substantial justification.

Tripathi also argues that Tesconi is relitigating a bona fide purchaser issue already decided against Tesconi on appeal in the unlawful detainer action. While the Court has found above that collateral estoppel precludes relitigation of bona-fide-purchaser status on notice-compliance grounds under Civil Code section 2924(c), the Court also found that this preclusion is narrow and that Tesconi's present claims in this case include substantial allegations of fraud, elder abuse, and irregularities outside the pure notice-compliance scope already adjudicated in the unlawful detainer case. The collateral-estoppel argument, while based on a validly adjudicated prior determination, does not transform the present Motion into one that was clearly reasonable in law and fact when the Motion's defects on probable validity and other issues are considered. For instance, the prior unlawful detainer proceeding did *not* address or decide the timing of the lis pendens recording relative to the trustee's deed recording, the timeliness of the section 2924m affidavit, the occupancy disputes, or the availability of section 2924h(c) relation-back—all of which are central to the Court's findings and rulings in this Motion.

Accordingly, the Court finds that Tripathi has not carried his burden to establish the substantial-justification exception of Section 405.38. Likewise, Tripathi has not shown any other circumstances that would render the award of fees unjust here to satisfy the second statutory exception.

Importantly, Section 405.38 does not confer general discretion to this Court to withhold fees once a party prevails. Absent proof of one of two statutory exceptions, the award is required. (*Shoker v. Superior Court* (2022) 81 Cal.App.5th 271.) And Tripathi has not established either of the two statutory exceptions here.

In this case, Tesconi requests \$11,040.00 in attorney fees under Section 405.38 as the prevailing party. (Notice of Opp. & Counter-Request for Attorneys' Fees Per C.C.P. § 405.38 at 1:28-2:2) (filed: Aug. 10, 2026). And as set forth in detail in the Supporting Declaration of his Plaintiff's lawyer Neil E. Opdahl-Lopez, the \$11,040.00 award sought represents 18.4 hours of work, at counsel's reasonable hourly rate of \$600.00, incurred in opposing Defendant's Motion and related ex parte proceedings directly related to this Motion. (Opdahl-Lopez Decl. at ¶¶ 5-12). Specifically, this 18.4 hours of work included review of Tripathi's moving papers, declarations, exhibits, and authorities; legal research on lis pendens, probable validity, wrongful foreclosure, fraud, bona-fide-purchaser status, financial elder abuse, aiding and abetting, and related authorities; review, selection, and compilation of supporting exhibits; conferences with Tesconi and factual development; preparation and revision of Tesconi's 13-page supporting declaration; preparation and revision of the opposition; review and opposition to Tripathi's ex parte application to advance the hearing; review of Tripathi's reply and authorities; preparation for hearing

and oral argument; and appearance at the hearing. (*Id.* at ¶ 6). The work was evidence-intensive because Tesconi was required to establish the probable validity of his real property claims by a preponderance of the evidence. (*Id.* at ¶ 7). This 18.4 hours of work includes 1.5 hours for work opposing Tripathi's ex parte application (*id.*, Appendix of Time Spent), which the Court finds is properly recoverable here because Tripathi sought ex parte relief to advance the hearing on *this* Motion, requiring Tesconi and his counsel to respond on an expedited basis.

In light of this detailed supporting evidence provided in the Opdahl-Lopez Declaration, the Court, in the broad exercise of its discretion, finds that the 18.4 hours sought were reasonably incurred by Plaintiff's counsel in opposing the Motion. This Opposition required factual development, legal research across multiple theories, drafting a substantial client declaration, exhibit assembly, reply review, and hearing preparation.

Moreover, in the broad exercise of its discretion, the Court further finds that the hourly rate of \$600 sought for attorney Opdahl-Lopez's time is reasonable and consistent with rates of similarly-situated lawyers in the relevant market for sophisticated real estate and foreclosure litigation.

The Court further notes that in his reply papers, Tripathi submitted no evidence in any reply declaration, no competing market-rate evidence, and no item-by-item challenge to the hours or hourly rate sought by Tesconi's lawyer here.

As the Court finds the 18.4 hours sought was reasonably incurred in opposing the Motion, and as the Court finds the \$600.00 hourly rate sought is reasonable, the Court finds the \$11,040.00 sought in attorneys' fees is reasonable here.

As Section 405.38 requires the Court under these circumstances to award Tesconi as the prevailing party his reasonable attorneys' fees in opposing the Motion, and as the Court finds that the \$11,040.00 sought in attorneys' fees is reasonable here, the Court under Section 405.38 now awards Tesconi \$11,040.00 for his reasonable attorney's fees for this Motion. Specifically, the Court **ORDERS** Tripathi to pay Tesconi \$11,040.00 within 30 days of today for Tesconi's reasonable attorneys' fees for this Motion.

IV. Conclusion & Order

Accordingly, in the broad exercise of its discretion, the Court **ORDERS** that:

- Defendant Ashish Tripathi's Motion to Expunge Lis Pendens is **DENIED** in its entirety.
- The Lis Pendens recorded May 10, 2024, in the Official Records of Alameda County remains in effect.
- Plaintiff Raymond Tesconi is awarded his reasonable attorney fees of \$11,040.00 for this Motion under Code of Civil Procedure Section 405.38, payable by Defendant Ashish Tripathi **within 30 days of today**.

Moreover, the Court respectfully puts Defendant Ashish Tripathi on **NOTICE** that failure to comply with this **ORDER** within 30 days to today may result in further escalating monetary sanctions and non-monetary sanctions including issue, evidentiary, and terminating sanctions.

SO ORDERED.

Date: August 21, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

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